

The Contractor's Guide to IR35

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Considering UK contracting? IR35 decides how you're taxed — and it asks one question: are you genuinely in business, or an employee in disguise? Here's the plain-English version.

What IR35 is

IR35 (the “off-payroll working rules”) exists to stop people working like employees while being taxed as businesses. If a contract is judged **inside IR35**, you're taxed broadly like an employee for that engagement. If it's **outside IR35**, you're operating as a genuine business. The difference materially changes your take-home pay — so assess every contract before you commit.

The three status tests

Test	The question	Points outside IR35 when...
Control	Who decides how, when and where the work is done?	You control your own method, hours and location within the project's needs.
Substitution	Could you send a qualified substitute to deliver the work?	A genuine right of substitution exists (and isn't just words in the contract).
Business relationship	Do you look like a business or an employee?	Own equipment, multiple clients, financial risk, no employee-style benefits or integration.

Inside IR35: your options

Option	How it works
Umbrella company	The umbrella employs you and handles tax. The simplest route for inside-IR35 contracts.
Limited company	You incorporate and account for taxes yourself — best done with professional advice.
Negotiate the rate	Price the IR35 cost into your day rate so your net position holds.
Accept or decline	Take the contract covering the higher taxes — or walk away if the numbers don't work.

Records that protect your status

- Contracts, scope of work and correspondence showing your working practices
- Invoices and payment evidence; taxes paid; business expenses
- Business insurance and registrations
- Evidence of multiple clients and marketing of your services

Before you sign

- Run the role through HMRC's CEST tool and keep the output.
- Ask the client for their status determination (they're usually responsible for it for medium/large clients).

- Speak to an accountant or tax adviser who works with contractors.

This guide is general awareness, not tax or legal advice. IR35 rules evolve — always verify current HMRC guidance and take professional advice before contracting.